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What Are Corporate Term Loans?

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A Comprehensive Institutional Masterclass & White Paper on Corporate Term Loans (CTLs) in the Indian Wholesale Banking & Financial Architecture

PUBLICATION EDITION: 2026 CODE REFERENCE EDITION
Target Audience: Corporate Bankers, Credit Analysts, CFOs, Financial Consultants & Finance Professionals

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Chapter 1: Product Overview & Core Fundamentals

1.1 Definition & Essence of Corporate Term Loans (CTL)

In the Indian corporate and wholesale banking landscape, a Corporate Term Loan (CTL) represents a customized, long-term or medium-term credit facility extended by commercial banks, Non-Banking Financial Companies (NBFCs), or financial institutions to established corporate entities. Unlike project finance term loans—which are tied strictly to greenfield project creation and appraised on standalone project cash flows—or working capital loans (such as Cash Credit, Overdraft, or Working Capital Demand Loans)—which fund day-to-day operating cycles—a Corporate Term Loan is appraised on the overall balance sheet strength, historical cash flow track record, and consolidated creditworthiness of the borrowing corporate entity.

Corporate Term Loans serve as a foundational funding mechanism for capital expenditure (capex), business expansion, capacity modernization, debt consolidation/refinancing, margin money for working capital, and strategic acquisitions. They provide corporate treasurers with predictable, medium-to-long-term capital structures while allowing lenders to secure priority claims against fixed assets and corporate balance sheets.

1.2 Comparative Analysis: CTL vs Working Capital vs Project Term Loans

Dimension / Parameter	Corporate Term Loan (CTL)	Working Capital Loan (CC/OD)	Project Finance Term Loan
Primary Objective	Balance sheet expansion, general capex, refinancing, strategic growth	Funding day-to-day operational liquidity & current asset gap	Construction & execution of specific greenfield/brownfield assets
Appraisal Basis	Consolidated corporate balance sheet, historical EBITDA, credit rating	Monthly Drawing Power (DP) based on stock & book debt statements	Standalone project viability, techno-economic feasibility study (TEV)
Security Structure	First or second charge on company fixed assets / corporate balance sheet	First pari-passu hypothecation of current assets (stock & receivables)	Exclusive first charge on project assets, project escrow & step-in rights
Disbursement Mode	Lump-sum drawdown or structured milestone tranches	Revolving credit line drawn and repaid flexibly within limit	Tranche-wise disbursement tied strictly to physical construction progress

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Tenure Range	3 to 10 Years (typically 5-7 years with moratorium)	12-month revolving facility (annual review & renewal)	7 to 20 Years (long-term amortizing based on asset economic life)
Primary Repayment Source	General operational cash flows & corporate EBITDA of company	Realization of trade receivables and sale of inventory	Dedicated cash flows generated exclusively by the project asset

1.3 Core Objectives & Utilization End-Uses

- **Capital Expenditure & Modernization:** Funding ongoing expansion of existing manufacturing plants, debottlenecking, automation, and technological upgrades without waiting for project finance appraisal.
- **Debt Refinancing & Consolidation:** Replacing high-cost short-term debt, expensive non-convertible debentures (NCDs), or high-interest NBFC loans with longer-tenure, lower-cost bank term debt.
- **Margin Money for Working Capital:** Providing the mandatory non-refundable promoter/borrower equity contribution or margin money required by banks before sanctioning working capital facilities.
- **M&A & Strategic Growth:** Financing strategic domestic acquisitions, buying out minority shareholders, or acquiring brand portfolios/technology licenses.
- **Long-Term Working Capital Gap:** Injecting long-term stable funds into the business to correct structural working capital deficits and balance sheet liquidity mismatches.

ROOKIE MASTERY RULE

Corporate Term Loans are evaluated on the strength of the borrower's total balance sheet and historical EBITDA generating capacity rather than the standalone cash flows of a specific new asset. This makes CTLs faster to structure and disburse compared to traditional project finance.

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Chapter 2: Product Architecture & Structural Mechanics

2.1 Repayment Architectures & Amortization Models

The repayment structure of a Corporate Term Loan dictates how principal and interest are serviced over the facility lifecycle. Indian commercial banks offer four primary amortization architectures tailored to the borrower's cash conversion cycle:

- **1. Equal Principal Amortization (Equated Installments):** The total principal is divided into equal periodic (monthly/quarterly/half-yearly) installments over the loan tenure post-moratorium. This is the most standard architecture used by public and private sector banks in India.
- **2. Ballooning / Stepped-Up Amortization:** Principal repayment starts with smaller quarterly installments during the initial years (e.g., 10% in Year 1-2) and escalates in later years (e.g., 30% in Year 4-5) as business capacity utilization matures.
- **3. Bullet Repayment:** The borrower services interest periodically (monthly/quarterly), while the entire principal amount is repaid in a single lump sum at final maturity. Common in short-to-medium term corporate notes and NBFC corporate term lines.
- **4. Structured Amortization with Stub Bullet:** A hybrid structure combining moderate periodic principal payments (e.g., 40% amortized over 5 years) with a large remaining principal balance ('stub' or 'bullet') settled at final maturity via refinancing or equity proceeds.

2.2 Disbursement Mechanics & Escrow Waterfall

Corporate Term Loans can be disbursed either in a single upfront lump-sum drawdown or through structured tranche disbursements tied to certified expenditure milestones. To guarantee cash flow control and debt servicing priority, lenders institute a Trust and Retention Account (TRA) or Escrow Mechanism governed by a formal Escrow Agreement.

The Escrow Cash Flow Waterfall Hierarchy

Under an Escrow structure, all operational revenues and cash receipts of the borrowing company are deposited directly into a designated Escrow Account held with the Lead Bank. Funds are swept strictly according to the statutory priority waterfall:

- **Priority 1: Statutory Dues & Levies —** Payment of statutory taxes, GST, employee provident fund dues, and direct government levies.
- **Priority 2: Essential Operational Expenses —** Approved monthly operational expenses, raw material bills, and plant maintenance costs.
- **Priority 3: CTL Interest Servicing —** Monthly or quarterly interest servicing on the Corporate Term Loan.
- **Priority 4: CTL Principal Amortization —** Scheduled principal installment payments on the CTL.
- **Priority 5: DSRA Replenishment —** Mandatory transfers to maintain the Debt Service Reserve Account (DSRA) holding 1 to 2 quarters of debt service.
- **Priority 6: Borrower Surplus Release —** Surplus cash released to the borrower's general operating account for unencumbered corporate use.

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2.3 Interest Rate Benchmarks & Pricing Dynamics

In accordance with RBI directions, Corporate Term Loans in India are structured with floating interest rates pegged to standardized benchmark interest rates plus a borrower-specific Credit Risk Spread:

- **Repo Rate-Linked External Benchmark (EBLR):** Primary benchmark for commercial bank loans. For instance, RBI Repo Rate (6.50%) + Credit Risk Spread (2.25%) = Effective CTL Rate of 8.75% p.a.
- **Marginal Cost of Funds-Based Lending Rate (MCLR):** Historically used benchmark representing the bank's internal cost of funds. Resets periodically (6-month or 1-year reset frequency).
- **SOFR / Foreign Currency Benchmarks (for FCNR CTLs):** Used for foreign currency corporate term loans, replacing USD LIBOR in alignment with global transition guidelines.

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Chapter 3: Common Eligibility Criteria & Underwriting Parameters

3.1 Quantitative Financial Eligibility Benchmarks

Bank credit committees enforce stringent quantitative financial filters when evaluating Corporate Term Loan applications. The table below outlines the institutional standard benchmarks required for sanction:

Financial Metric / Parameter	Minimum Threshold Requirement	Preferred / Prime Target Benchmark	Underwriting Rationale
Annual Revenue / Turnover	Min INR 100.00 Crores	INR 500.00 Crores+	Ensures established market presence and scale to absorb economic shocks
Operating Track Record	Minimum 3 Years Audited Profits	5+ Years Profitability Track Record	Demonstrates historical business cycle resilience and operational stability
External Credit Rating	Minimum Investment Grade (BBB-)	A- / AA / AAA Rating	Reduces risk-weighted asset (RWA) capital provisioning for lending banks
Debt Service Coverage Ratio (DSCR)	Minimum 1.25x Across Tenure	1.50x to 1.85x	Measures cash flow buffer available to service interest and principal obligations
Interest Coverage Ratio (ICR)	Minimum 2.00x EBITDA/Interest	3.50x+	Assesses corporate earnings cushion against rising benchmark interest rates
Debt-to-EBITDA Ratio	Maximum 3.50x to 4.00x	Below 2.50x	Caps aggregate leverage relative to real cash flow generation capacity
Debt-Equity Ratio (DER)	Maximum 2.00:1 (Leverage)	1.00:1 or Lower	Guarantees sufficient promoter skin-in-the-game and loss-absorption cushion

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3.2 Qualitative & Compliance Due Diligence Filters

- **1. CRILC & CIBIL Commercial Track Record:** Clean CIBIL Commercial score; zero overdue or default records reported on the Central Repository of Information on Large Credits (CRILC) database.
- **2. RBI Wilful Defaulter & SAL Screening:** The borrower, promoter group, and directors must not appear on RBI's Wilful Defaulter list, Export Credit Guarantee Corporation (ECGC) Specific Approval List (SAL), or Caution Advice lists.
- **3. Promoter Skin-in-the-Game:** Promoters must maintain an unencumbered equity stake (typically 25% to 51%+) in the borrowing entity, demonstrating long-term commitment.
- **4. Techno-Economic Viability (TEV) Report:** Third-party Techno-Economic Viability (TEV) study conducted by a bank-empaneled engineering firm verifying technical feasibility and commercial viability.

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Chapter 4: Security, Collateral Architecture & Legal Documentation Suite

4.1 Primary & Secondary Security Structure

Corporate Term Loans are fully secured credit facilities. Lenders construct a robust multi-layered security package to mitigate credit default risk:

- **Primary Security (Fixed Assets):** First or second pari-passu charge created via equitable/registered mortgage over commercial land, factory buildings, and hypothecation of plant & machinery.
- **Secondary / Collateral Security:** Second charge over the current assets of the company (raw material inventory, work-in-progress, finished goods, and trade book debts), subservient to working capital lenders.
- **Guarantees:** Unconditional and irrevocable personal guarantees executed by key promoters and corporate guarantees issued by ultimate holding companies.
- **Promoter Share Pledge:** Exclusive pledge of promoter-held equity shares (typically 26% to 51% of total share capital) in demat form with a required minimum collateral cover ratio (e.g., 2.0x cover).

4.2 Cash Flow Protection Mechanisms

- **Debt Service Reserve Account (DSRA):** A dedicated liquidity buffer created by the borrower, holding an amount equal to 1 to 2 quarters of principal and interest payments in the form of bank fixed deposits or liquid mutual funds.
- **Escrow & Cash Sweep Mechanism:** An agreement granting the Lead Bank exclusive control over corporate cash inflows and enforcing automatic debt service sweeps before funds are released to the borrower.

4.3 Standard Legal Documentation Suite (IBA Standards)

The legal documentation for a Corporate Term Loan in India adheres to standardized Indian Banks' Association (IBA) protocols and Indian Contract Act provisions:

- **1. Sanction Letter & Acceptance:** Detailed document issued by the bank outlining loan amount, interest rate, repayment schedule, security creation timelines, and financial covenants.
- **2. Corporate Term Loan Facility Agreement:** Comprehensive master loan agreement defining borrowing terms, representations, warranties, events of default, and enforcement remedies.
- **3. Deed of Hypothecation:** Creates a legal charge over all present and future movable fixed assets, machinery, equipment, and vehicles.
- **4. Indenture of Mortgage / Memorandum of Deposit of Title Deeds:** Executed to create an equitable or registered mortgage over immovable land and building properties.
- **5. Intercreditor Agreement (ICA):** In multi-bank or syndicated term loans, executed among all participating lenders to establish pari-passu charge ranking, voting rights, and default remedies.

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- **6. Board & Shareholder Resolutions:** Mandatory corporate authorizations passed under Section 179 and Section 180(1)(c) / 180(1)(a) of the Companies Act 2013, approving borrowing limits and asset encumbrance.
- **7. Statutory Charge Perfection (ROC, CERSAI, NeSL):** Mandatory statutory registration of charge on ROC Form CHG-1 within 30 days of creation under Section 77 of Companies Act 2013; CERSAI portal registration; upload to National E-Governance Services Ltd (NeSL) Information Utility.

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Chapter 5: Indicative Tenure, Pricing Structure & Repayment Dynamics

5.1 Tenure Profiles & Classification

- **Short-Term Corporate Loans (1 to 3 Years):** Tenure ranging from 12 to 36 months. Used primarily for short-term bridge requirements, pre-IPO expansion, or immediate debt consolidation.
- **Medium-Term Corporate Loans (3 to 7 Years):** Tenure ranging from 3 to 7 years (the industry standard CTL structure). Aligned with plant expansion, machinery installation, and general corporate capex.
- **Long-Term Corporate Loans (7 to 12 Years):** Tenure extending from 7 to 12+ years. Offered selectively to blue-chip corporate borrowers and infrastructure entities with highly durable cash flows.

5.2 Moratorium Period (Grace Period) Dynamics

A Moratorium Period (also known as a grace period) is granted during the construction or implementation phase of a capital project. During the moratorium:

- **Principal Repayment Holiday:** The borrower is exempt from making principal repayments for a specified duration (typically 6 to 24 months).
- **Interest Servicing Obligation:** Interest accruing during the moratorium must be serviced on a monthly basis by the borrower from existing operational cash flows or from a pre-funded interest bank line.

5.3 Fee Structure & Transaction Charges

- **Processing & Upfront Fee:** One-time upfront fee ranging from 0.25% to 1.00% of the sanctioned loan amount, payable upon acceptance of the sanction letter.
- **Commitment Fee:** Charged on the undrawn portion of the sanctioned term loan if the borrower delays drawdown beyond the agreed availability period (typically 0.25% to 0.50% p.a.).
- **Prepayment / Foreclosure Penalty:** Charged if the borrower prepays or refinances the CTL before maturity (typically 1.00% to 2.00% of the outstanding principal amount for fixed-rate loans; zero penalty for floating-rate loans under RBI guidelines for MSEs/individuals).

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Chapter 6: Suitable Industries & Business Profiles

6.1 Sectoral Applicability Matrix

Corporate Term Loans are utilized extensively across diversely capitalized sectors of the Indian economy. The table below details key target industries and typical use cases:

- **Automotive, Capital Goods & Specialty Chemicals:** Financing brownfield plant capacity additions, installation of automated machinery, and backward integration projects.
- **Pharmaceuticals & Healthcare:** Funding US-FDA compliant manufacturing line expansions, R&D facility setups, and international brand acquisitions.
- **Logistics, Warehousing & Supply Chain:** Acquiring fleet vehicles, constructing fulfillment centers, and expanding automated distribution hubs.
- **Commercial Real Estate & LRD:** Executing Lease Rental Discounting (LRD) term loans against long-term lease contracts from grade-A corporate tenants.
- **Renewable Energy & Power Infrastructure:** Providing bridge capital for solar/wind plant installations, transmission line expansions, and grid upgrades.

6.2 Ideal Borrower Profiles

An ideal corporate borrower for a CTL exhibits the following operational characteristics:

- **1. Established Market Scale:** Consolidated annual sales turnover exceeding INR 250 Crores with stable EBITDA margins.
- **2. Proven Operational History:** Minimum 5 years of successful commercial operations with a history of timely debt servicing.
- **3. Strong Credit Rating:** External credit rating of 'A-' or higher from SEBI-registered rating agencies (CRISIL, ICRA, CARE, India Ratings).
- **4. Low Customer Concentration:** Diversified customer base preventing over-reliance on a single client or contract.

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Chapter 7: Key Advantages & Structural Limitations

7.1 Strategic Advantages for Corporate Borrowers

- **1. Non-Dilutive Capital Structure:** CTLs allow companies to raise large-scale capital without diluting promoter equity ownership or board control.
- **2. Tax Deductibility of Interest:** Interest paid on Corporate Term Loans is a fully deductible business expense under Section 36(1)(iii) of the Indian Income Tax Act 1961, lowering the effective after-tax cost of debt.
- **3. Balance Sheet ALM Alignment:** Matches long-term capital investments with long-term repayment schedules, eliminating asset-liability maturity mismatches (ALM).
- **4. Predictable Cash Flow Planning:** CTLs are structured with predictable monthly/quarterly amortization schedules, enabling financial planning.

7.2 Structural Limitations & Risk Factors

- **1. Benchmark Interest Rate Risk:** Floating rate CTLs expose borrowers to rising interest rate cycles when central banks increase policy repo rates.
- **2. Restrictive Financial Covenants:** Loan agreements contain strict financial covenants (e.g., maintaining DER <= 2.0x, DSCR >= 1.35x). Breaching covenants triggers penalty interest (1% to 2% p.a.) or acceleration of repayment.
- **3. Asset Encumbrance & Collateral Lock:** Encumbering core fixed assets restricts the borrower's ability to raise additional secondary debt without prior lender No Objection Certificates (NOC).

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Chapter 8: Detailed Case Study Example — INR 250 Crore Corporate Term Loan

8.1 Borrower Profile & Transaction Context

Borrower Entity: Vardhman Advanced Chemicals India Limited (VACIL)

Industry Sector: Specialty Chemicals & Export Intermediaries

Financial Snapshot (Pre-Transaction): Annual Turnover: INR 850 Crores | EBITDA: INR 136 Crores (16% Margin) | Existing External Debt: INR 120 Crores | External Rating: 'A' Stable by CRISIL.

Transaction Context: VACIL planned a greenfield expansion to construct a state-of-the-art specialty chemical manufacturing unit in Dahej, Gujarat. Total estimated capital expenditure was INR 350 Crores. VACIL required a Corporate Term Loan of INR 250 Crores, funding the remaining INR 100 Crores through internal cash accruals (71:29 Debt-Equity ratio).

8.2 Banking Consortium & Term Sheet Structure

- **Lending Structure:** Consortium led by State Bank of India (SBI - INR 120 Cr), Bank of Baroda (BOB - INR 80 Cr), and Punjab National Bank (PNB - INR 50 Cr). Total Sanction: INR 250.00 Crores.
- **Facility Tenure:** 8 Years (96 Months), inclusive of a 24-Month Construction & Moratorium Period.
- **Interest Rate:** RBI Repo Rate (6.50%) + 2.25% Spread = Effective Floating Rate of 8.75% p.a.
- **Moratorium Period:** 24 Months on principal repayment; monthly interest serviced regularly during moratorium.
- **Repayment Schedule:** 6 Years (24 equal quarterly installments of INR 10.42 Crores starting Month 27).
- **Security Package:** First pari-passu mortgage over Dahej plant land and building + hypothecation of new plant & machinery + DSRA of 2 quarters.

8.3 Financial Amortization & Cash Flow Table (INR Crores)

Year / Period	Opening Loan Balance	Sanctioned Drawdown	Principal Repayment	Interest Serviced (@ 8.75%)	Closing Loan Balance	Projected EBITDA	DSCR (x)
Year 1 (Moratorium)	INR 0.00	INR 150.00	INR 0.00	INR 13.13	INR 150.00	INR 136.00	10.36x
Year 2 (Moratorium)	INR 150.00	INR 100.00	INR 0.00	INR 21.88	INR 250.00	INR 155.00	7.08x

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Year 3 (Repayment)	INR 250.00	INR 0.00	INR 41.67	INR 20.02	INR 208.33	INR 195.00	3.16x
Year 4 (Repayment)	INR 208.33	INR 0.00	INR 41.67	INR 16.37	INR 166.67	INR 220.00	3.79x
Year 5 (Repayment)	INR 166.67	INR 0.00	INR 41.67	INR 12.73	INR 125.00	INR 245.00	4.50x
Year 6 (Repayment)	INR 125.00	INR 0.00	INR 41.67	INR 9.08	INR 83.33	INR 270.00	5.32x
Year 7 (Repayment)	INR 83.33	INR 0.00	INR 41.67	INR 5.44	INR 41.67	INR 295.00	6.26x
Year 8 (Repayment)	INR 41.67	INR 0.00	INR 41.67	INR 1.79	INR 0.00	INR 320.00	7.36x

Case Study Outcome Analysis: The INR 250 Crore Corporate Term Loan enabled VACIL to complete its Dahej specialty plant within budget. Post-commissioning, annual revenues increased from INR 850 Cr to INR 1,450 Cr within 3 years. The minimum DSCR maintained was 3.16x, far exceeding the lender covenant requirement of 1.35x.

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Chapter 9: Regulatory Guidelines & IBC Integration in India

9.1 RBI Asset Classification & Provisioning Norms (IRAC)

Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRAC) norms, Corporate Term Loans are monitored continuously for payment defaults:

- **Special Mention Account 0 (SMA-0):** Principal or interest payment overdue for 1 to 30 days.
- **Special Mention Account 1 (SMA-1):** Principal or interest payment overdue for 31 to 60 days.
- **Special Mention Account 2 (SMA-2):** Principal or interest payment overdue for 61 to 90 days.
- **Non-Performing Asset (NPA):** Account overdue for more than 90 days. Mandatory classification as Non-Performing Asset (NPA) requiring bank capital provisioning.

9.2 Treatment Under Insolvency & Bankruptcy Code (IBC), 2016

Corporate Term Loans hold significant statutory protections under the Insolvency and Bankruptcy Code (IBC) 2016:

- **Financial Creditor Status:** CTL lenders are categorized as Financial Creditors under Section 5(7) of IBC 2016, possessing the legal right to initiate Corporate Insolvency Resolution Process (CIRP) under Section 7 upon default threshold of INR 1 Crore.
- **Committee of Creditors (CoC) Voting Share:** CTL lenders hold voting rights in the Committee of Creditors (CoC) proportional to their financial debt exposure. A 66% CoC voting majority is required to approve a resolution plan.
- **IBC Section 53 Liquidation Waterfall Priority:** In the event of corporate liquidation, secured CTL lenders holding a first pari-passu charge rank highest under Section 53 waterfall provisions, above unsecured creditors and equity shareholders.

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Chapter 10: Rookie Mastery Examination (15 High-Yield Test Q&As)

Q1: What distinguishes a Corporate Term Loan (CTL) from a Working Capital Loan like Cash Credit (CC)?

A1: A CTL is a long-term/medium-term credit facility evaluated on the borrower's consolidated balance sheet and EBITDA to fund capital expenditure or expansion, repaid in structured periodic installments. In contrast, Cash Credit is a 12-month revolving working capital facility evaluated on monthly Drawing Power (DP) to fund short-term current assets.

Q2: On what basis do commercial banks appraise a Corporate Term Loan application?

A2: Banks appraise CTLs based on consolidated corporate balance sheet strength, historical 3-5 year audited financial performance, credit rating (min BBB-), Debt Service Coverage Ratio (DSCR >= 1.25x), and company-wide cash flow generation capacity.

Q3: What is the primary function of a Debt Service Reserve Account (DSRA) in CTL structuring?

A3: A DSRA is a cash flow safeguard where the borrower maintains an encumbered liquidity buffer equal to 1 to 2 quarters of principal and interest payments in bank fixed deposits to ensure uninterrupted debt servicing during temporary operational disruptions.

Q4: Explain the difference between an Equal Principal Amortization and a Ballooning Repayment structure.

A4: Equal Principal Amortization divides principal evenly across all installments throughout the loan tenure. Ballooning Amortization schedules smaller principal payments in the initial years and escalates them in later years as capacity utilization matures.

Q5: What is a Moratorium Period in a Corporate Term Loan, and how is interest handled during this time?

A5: A Moratorium Period is a principal repayment holiday granted during construction/implementation. While principal repayments are deferred, the borrower must service monthly interest regularly from operational cash flows.

Q6: Under the Companies Act 2013, which statutory form must be filed to register a loan charge with the ROC?

A6: Form CHG-1 must be filed with the Registrar of Companies (ROC) within 30 days of charge creation under Section 77 of the Companies Act 2013.

Q7: How is the benchmark interest rate for a corporate term loan structured under RBI guidelines?

A7: CTL interest rates are floating and pegged to external benchmarks such as the RBI Repo Rate (EBLR) or 3-Month T-Bill rate, plus a borrower-specific Credit Risk Spread.

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Q8: What is the minimum standard Debt Service Coverage Ratio (DSCR) benchmark required by banks for sanctioning a CTL?

A8: The institutional benchmark minimum DSCR is 1.25x across the loan tenure, with 1.50x to 1.85x preferred for prime pricing.

Q9: What is the statutory time limit for classifying an overdue loan account as a Non-Performing Asset (NPA)?

A9: An overdue account is classified as an NPA when principal or interest remains unpaid for more than 90 consecutive days.

Q10: What tax advantage does a corporate borrower gain from servicing a Corporate Term Loan?

A10: Under Section 36(1)(iii) of the Income Tax Act 1961, interest paid on business loans is a fully deductible tax expense, reducing effective corporate tax liability.

Q11: Under Section 5(7) of the Insolvency and Bankruptcy Code (IBC) 2016, how are CTL lenders classified?

A11: CTL lenders are classified as Financial Creditors, granting them the legal right to initiate insolvency proceedings under Section 7 and vote in the Committee of Creditors (CoC).

Q12: What role does an Escrow Account play in corporate term debt servicing?

A12: An Escrow Account captures all operational revenues of the borrower and sweeps cash according to a predetermined legal priority waterfall, ensuring debt servicing takes precedence over surplus borrower distributions.

Q13: What is the minimum voting majority required in a Committee of Creditors (CoC) to approve an IBC Resolution Plan?

A13: A voting majority of 66% of financial debt value is required under the IBC 2016.

Q14: Define 'Promoter Skin-in-the-Game' in the context of CTL underwriting.

A14: It refers to the unencumbered equity stake and capital contribution (typically 25% to 51%+) held by promoters in the company, ensuring aligned incentive and loss absorption capacity.

Q15: What is a Lease Rental Discounting (LRD) loan?

A15: LRD is a specialized Corporate Term Loan extended against the security of pledged long-term lease rental cash flows from Grade-A corporate tenants occupying commercial real estate assets.

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